Guidelines and Instructions for BIR Form No. 1701-MS [August 2024]
Annual Income Tax Return
For Individuals Classified as MICRO or SMALL Taxpayers

These instructions are designed to assist taxpayers, or their representatives, with the preparation of the annual income tax return (ITR). If there are questions which are not adequately covered, please consult the local BIR office. If there appears to be any discrepancies between these instructions and the applicable laws and regulations, the laws and regulations take precedence.

Who Shall File

BIR Form No. 1701-MS shall be filed by individuals who are engaged in trade/business or the practice of profession including those with mixed income (i.e., those engaged in the trade/business or profession who are also earning compensation income) in accordance with Sec. 51 of the Code, as amended. The annual income tax return summarizes all the transactions covering the calendar year of the taxpayer.

This return shall be filed by the following individuals classified as micro (those with gross sales of less than ₱ 3,000,000) or small (those with gross sales of ₱ 3,000,000 to less than ₱ 20,000,000) taxpayers:

1. A resident citizen engaged in trade, business, or practice of profession within and without the Philippines.
2. A resident alien, non-resident citizen or non-resident alien individual engaged in trade, business or practice of profession within the Philippines.
3. A trustee of a trust, guardian of a minor, executor/administrator of an estate, or any person acting in any fiduciary capacity for any person, where such trust, estate, minor, or person is engaged in trade or business.
4. An individual engaged in trade or business or in the exercise of their profession and receiving compensation income as well.

Married individuals shall file a return for the taxable year to include the income of both spouses, computing separately their individual income tax based on their respective total taxable income. Where it is impracticable for the spouses to file one return, each spouse may file a separate return of income. If any income cannot be definitely attributed to or identified as income exclusively earned or realized by either of the spouses, the same shall be divided equally between the spouses for the purpose of determining their respective taxable income.

The income of unmarried minors derived from property received from a living parent shall be included in the return of the parent except (1) when the donor's tax has been paid on such property, or (2) when the transfer of such property is exempt from donor's tax.

If the taxpayer is unable to make his own return, the return may be made by his duly authorized agent or representative or by the guardian or other person charged with the care of his person or property, the principal and his representative or guardian assuming the responsibility of making the return and incurring penalties provided for erroneous, false or fraudulent returns.

When and Where to File and Remit

The return shall be filed and the tax shall be paid on or before the 15th day of April of each year covering income of the preceding taxable year.

The return shall be filed electronically in any of the available electronic platforms. However, in case of unavailability of the electronic platforms, manual filing of the return may be allowed. For tax payments, the same shall be made either electronically in any of the available electronic platforms or manually to any Authorized Agent Banks (AABs) or to the Revenue Collection Officers (RCOs).

When the return is filed with an AAB, taxpayer must accomplish and submit BIR-prescribed deposit slip, which the bank teller shall machine validate as evidence that payment was received by the AAB. The AAB receiving the tax return shall stamp mark the word "Received" on the return and also machine validate the return as proof of filing and payment of the tax by the taxpayer. The machine validation shall reflect the date of payment, amount paid and transactions code, the name of the bank, branch code, teller's code and teller's initial. Bank debit memo number and date should be indicated in the return for taxpayers paying under the bank debit system.

Payment may also be made thru the ePayment channels of AABs thru either their online facility, credit/debit/prepaid cards, and mobile payments.

A taxpayer shall file a consolidated return for the head office and all the branches/offices.

How to Accomplish the Form

1. Enter all required information in **CAPITAL LETTERS** using **BLACK INK**. Mark applicable boxes with an "X". Two copies MUST be filed with the BIR and one held by the taxpayer;
2. Indicate Taxpayer Identification Number (TIN) and registered name on each page;
3. For all questions wherein an appropriate box is provided for a possible answer, mark the applicable box corresponding to the chosen answer with an "X"; and
4. Required information wherein the space provided has a letter separator, the same must be supplied with CAPITAL LETTERS where each character (including comma or period) shall occupy one box and leave one space blank for every word.

However, if the word is followed by a comma or period, there is no need to leave blank after the comma or period. Do NOT write "NONE" or make any other marks in the box/es.

This return is divided into Part 1 to VI. Individual instructions as to the source of the information and the necessary calculations are provided on each line item.

PART NO.	PARTS	PAGE NO.
I	Taxpayer/Filer and Spouse Information	1
II	Total Income Tax Payable	1
III	Details of Payment	1
IV	Computation of Tax	2
V	Tax Credits/Payments	2
VI	Tax Relief Availment	2

For Items 1 to 5:

Item 1 Indicate the taxable year covered by the return being filed.
Item 2 Choose "Yes" if the tax return is one amending the previously filed return, "No" if not.
Item 3 Choose "Yes" if the return is made for a fractional part of a year (e.g., commencement or retirement).
Item 4 Indicate Civil Status, whether single, married, legally separated or widow/er.
Item 5 Indicate whether married individual is filing jointly, separately or not applicable.

Items 6 to 18 (Part I – Taxpayer/Filer and Spouse Information):

Item 6 Taxpayer Identification Number (TIN): Enter taxpayer/filer's TIN in Column A and spouse's TIN in Column B, if applicable. If no TIN, apply for one before filing using *Application for Registration-For Self-Employed (Single Proprietor/Professional), Mixed Income Individuals, Non-Resident Alien Engaged in Trade/Business, Estates and Trusts* (BIR Form No. 1901).

Item 7 RDO Code: Enter the appropriate RDO code of the taxpayer/filer in Column A, and of the spouse in Column B, if applicable per BIR Form No. 1901 and/or Certificate of Registration (BIR Form No. 2303).

Item 8 Taxpayer's Name: Enter the Last Name, First Name, Suffix, Middle Name for taxpayer/filer in Column A and for the spouse in Column B, if applicable / ESTATE of First Name, Middle Name, Last Name / TRUST FAO First Name, Middle Name, Last Name as it was entered on the BIR Form Nos. 1901/1905/2303.

Item 9 Email Address: Indicate email address of the taxpayer/filer in Column A and the spouse in Column B, if applicable.

Item 10 Contact Number: Indicate landline or cellphone number of the taxpayer/filer in Column A and of the spouse in Column B, if applicable.

Item 11 Source of Income: Indicate in Column A whether the source of income of the taxpayer/filer is from business, profession or mixed, and in Column B for the spouse, if applicable. Mixed Income refers to the income of the taxpayer coming from compensation and business.

Item 12 Income is subject to: Indicate whether the income of the taxpayer/filer (Column A) and of the spouse (Column B), if applicable, is subject to graduated income tax rates or 8% income tax rate or special/preferential rate or exempt from income tax. If income is subject to special/preferential rate or exempt from income tax, fill-out Items 13 to 16. If with two (2) or more activities or multiple tax regimes or tax rates, use BIR Form No. 1701.

Items 13 Legal Basis of Tax Relief/Exemption: Indicate the legal basis of tax relief or tax exemption of taxpayer/filer in Column A, and of the spouse in Column B, if applicable.

Item 14 Investment Promotion Agency (IPA)/ Government Agency: Indicate the investment promotion agency or the government agency who granted the tax relief or tax exemption to the taxpayer/filer in Column A and to the spouse in Column B, if applicable.

Item 15 Registration Activity/Program (Registration Number): Indicate registration number of the registered activity/program of the taxpayer/filer in Column A and f the spouse in Column B, if applicable.

Item 16 Effectivity Date of Tax Relief/Exemption: Indicate the effectivity of the tax relief or tax exemption of the taxpayer/filer in Column A and of the spouse in Column B, if applicable.

Item 17 Method of Deduction: Taxpayer/Filer (Column A) and the spouse (Column B) shall choose either Itemized Deduction under Section 34(A-J), NIRC or Optional Standard Deduction (OSD), which is 40% of Gross Sales/Receipts/Revenues/Fees under Section 34(L), NIRC as amended by RA 9504. The option to choose applies only to individuals subject to Sec. 24 of the Tax Code, as amended, and with no special/preferential tax rates applied. The chosen method of deduction used in the first quarter of the year shall be irrevocable and consistently applied throughout the year.

Item 18 Alphanumeric Tax Code: Indicate the appropriate Alphanumeric Tax Code (ATC) of the taxpayer/filer in Column A and of the spouse in Column B, if applicable. Refer to Table 1 of the return.

Items 19 to 30 (Part II - Total Income Tax Payable):

Complete first Part IV – Computation of Tax on page 2 before accomplishing these items. Then transfer the information from Part IV to each of the items. Individual instructions as to the source of the information and the necessary calculations are provided on each line item.

Item 26 2nd Installment Payment: When a tax due is in excess of Two thousand pesos (P2,000), the taxpayer other than a corporation may elect to pay the tax in two (2) equal installments, in which case, the first installment shall be paid at the time the return is filed and the second installment on or before October 15 following the close of the calendar year, if any installment is not paid on or before the date fixed for its payment, the whole amount of the tax unpaid becomes due and payable together with the delinquency penalties.

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Items 28A to 28C PENALTIES:

There shall be imposed and collected as part of the tax:

1. A surcharge of ten percent (10%) for the following violations:
   a. Failure to file any return and pay/remit the tax due thereon, on or before the prescribed due date for its filing;
   b. Failure to pay/remit the full or part of the amount of tax shown on the return, or the full amount of tax due for which no return is required to be filed on or before the due date; or
   c. Failure to pay/remit the deficiency tax within the time prescribed for its payment/remittance in the notice of assessment.
2. A surcharge of fifty percent (50%) of the tax or of the deficiency tax, in case any payment/remittance has been made before the discovery of the falsity or fraud, for each of the following violations:
   a. Willful neglect to file the return within the period prescribed by the Code or by rules and regulations; or
   b. A false or fraudulent return is willfully made.
3. Interest at the reduced rate of fifty percent (50%) of the interest rate mandated in Section 249 of the Tax Code, as amended. The legal interest imposable to covered taxpayers shall be six percent (6%). In case a new legal interest is prescribed, the Commissioner of Internal Revenue shall issue a separate circular therefor.
4. Compromise penalty at a reduced compromise penalty of fifty percent (50%) of the applicable rate or amount of compromise under Annex "A" of Revenue Memorandum Order (RMO) No. 7-2015 and its subsequent amendments, if any, shall be applied.

Item 31 Overpayment Line: An excess of the total tax credits/payments over the actual income tax due computed in the final adjusted return may be refunded or issued with the Tax Credit Certificate to the taxpayer or credited against its estimated income tax liabilities for the quarters of the succeeding taxable years. The taxpayer shall exercise its option by placing an "X" in the appropriate box, which option shall be considered irrevocable for that taxable period. Thus, once the taxpayer opted to carry-over and apply the excess income tax against income tax due for the succeeding taxable year, no application for cash refund or issuance of a tax credit certificate shall be allowed. In case the taxpayer fails to signify its choice, the excess payment shall be automatically carried-over to the next taxable period.

Item 32 Perjury Clause: Declaration of the taxpayer/filer that the information provided in the return are true, correct and complete and will be held criminally, civilly and administratively liable if any information/statement supplied in the return are false, misleading, deceptive and inaccurate. By clicking agree, taxpayer confirm that he/she read and understood the Declaration and agreed to it.

Item 33 Signature Line: When all pages of the return are complete, taxpayer/filer shall sign the return in the place indicated.

Item 34 TIN of Authorized Representative: If the return is filed by an authorized representative, his/her TIN shall be provided in the indicated space.

Item 35 Number of Attachments: Enter the number of pages of the required attachments

Items 36 to 39 (Part III - Details of Payment):

Enter the information required and then pay the taxes due thereon, if any, to any AAB or to the Revenue Collection Officer (RCO). Refer to **www.bir.gov.ph** for the applicable AAB or visit the local BIR Office. For no payment returns, file electronically in any of the available electronic platforms.

Items 1 to 25 (Part IV - Computation of Tax):

At the top of this page, enter the tax filer's TIN and Last Name. The requirement for entering centavos on the ITR has been eliminated. If the amount of centavos is 49 or less, drop down the centavos (e.g. P100.49 = P100.00). If the amount is 50 centavos or more, round up to the next peso (P100.50 = P101.00).

Generally, for all the lines in this part there is a need to complete the appropriate items and then transfer the sub-totals to the appropriate line. On the other lines make the appropriate calculations as directed and enter the totals.

Items 1 to 4 (Part IV A - Taxable Compensation Income): Fill-out and/or compute the required information.

Items 5 to 18 (Part IV B1 Taxable Business Income For Graduated Income Tax Rates / Special or Preferential Rate / Exempt from IT):

Items 5 to 9: Fill-out and/or compute the required information.

Items 10 Deductions Allowed under Existing Laws: May choose either the itemized or optional standard deduction, and such choice made in the initial quarterly return during the taxable year is irrevocable for the said year for which the return is made.

Item 10A Ordinary Allowable Itemized Deductions: There shall be allowed as deduction from gross income all the ordinary and necessary trade and business expenses paid or incurred during the taxable year in carrying on or which are directly attributable to the development, management, operation and/or conduct of the trade and business. Itemized deductions include also interest, taxes, losses, bad debts, depreciation, depletion, charitable and other contributions, research and development and pension trusts. This deduction is mandatory to the taxpayers with income tax rates other than the income tax rates prescribed under Sec. 24 of the Tax Code. Breakdown of this Item, if any, shall be shown in the Notes to Financial Statement.

Item 10B Special Allowable Itemized Deductions: There shall be allowable deduction from gross income in computing the taxable income, in addition to the regular allowable itemized deductions, as provided under the existing regular and special laws, rules and issuances such as, but not limited to: Rooming-in and Breast-feeding Practices under R.A. No. 7600, Adopt-A-School Program under R.A. No. 8525, Expanded Senior Citizens Act under R.A. No. 9257, Free Legal Assistance under R.A. 9999, etc. Breakdown of this Item, if any, shall be shown in the Notes to Financial Statement.

Item 10C Computation of Net Operating Loss Carry Over: Only net operating losses incurred by the qualified taxpayer may be carried over to the next three (3) immediately succeeding taxable years following the year of such loss. Any person, natural or juridical, enjoying exemption from income tax, pursuant to the provisions of the Tax Code or any special law shall not qualify for purposes of the NOLCO. Breakdown of this Item, if any, shall be shown in the Notes to Financial Statement.

Item 10D: Compute to arrive at the Total Allowable Itemized Deductions.

Item 11 Optional Standard Deduction (OSD): A maximum of 40% of the Total Sales/Revenue/Fees in Item 7 shall be allowed as deduction in lieu of the itemized deduction if subject to **REGULAR Income Tax Regime Only**. However, individuals who availed and claimed this deduction is no longer required to submit the financial statements when filing the annual tax return but required to keep such records pertaining to the gross sales.

Items 12: Fill-out and/or compute the required information.

Item 13 Other Non-Operating Income: Breakdown of this Item, if any, shall be shown in the Notes to Financial Statement.

Items 14 and 15: Fill-out and/or compute the required information.

Item 16: The rate shall be 5% or 0%/ for exempt.

Item 17: Compute to arrive at the Tax Due of special/preferential rate or exempt from income tax.

Item 18A: Compute to arrive at the Total Tax Due on Compensation & Business Income under special/preferential rate or exempt.

Item 18B: Compute to arrive at the Total Tax Due on Compensation & Business Income under graduated rates.

Items 19 to 25 (Part IV B2 Taxable Business Income for 8% Income Tax Rate)

Items 19 to 21: Fill-out and/or compute required information.

Items 22: A maximum of Two Hundred Fifty Thousand Pesos (P250,000) shall be allowed as deduction from gross sales and other non-operating income of purely self- employed individuals and/or professionals.

Item 23: Compute to arrive at the Taxable Income or Loss.

Item 24: Compute to arrive at the Total Tax Due on Business Income.

Item 25: Compute to arrive at the Total Tax Due on Compensation & Business Income under 8% Income Tax Rate.

Items 1 to 10 (Part V - Tax Credits/Payments)

Items 1 to 9: Indicate claimed Tax Credits/Payments and attach necessary proof/s.

Item 10: Fill-out and/or compute required information

Item 1 (Part VI - Tax Relief Availment)

Compute to arrive at the Total Tax Relief Availment or revenue foregone.

NOTE:

- All background information must be properly filled out.
- The last 5 digits of the 14-digit TIN refers to the branch code.
- All returns filed by an accredited tax agent on behalf of a taxpayer shall bear the following information:
  A. For Individual (CPAs, members of GPPs, and others)
     a.1 Taxpayer Identification Number (TIN); and
     a.2 BIR Accreditation Number, Date of Issue, and Date of Expiry.
  B. For members of the Philippine Bar (Lawyers)
     b.1 Taxpayer Identification Number (TIN);
     b.2 Attorney's Roll Number;
     b.3 Mandatory Continuing Legal Education (MCLE) Compliance Number; and
     b.4 BIR Accreditation Number, Date of Issue, and Date of Expiry.

Required Attachments *(if applicable)*:

- Filing Reference Number (FRN) as proof of eFiling in the eFPS;
- Tax Return Receipt Confirmation as proof of eFiling in the eBIRForms;
- Proof of Payment/Acknowledgement Receipt of Payment;
- Certificate of Independent CPA duly accredited by the BIR;
- Unaudited or Audited Financial Statements (AFS);
- Notes to AFS;
- Statement of Management Responsibilities (SMR);
- BIR Form No. 2307 [Certificate of Creditable Tax Withheld at Source];
- BIR Form No. 1606 [Withholding Tax Remittance Return (For Onerous Transfer of Real Property Other Than Capital Asset)]
- BIR Form No. 2304 [Certificate of Income Payments not Subjected to Withholding Tax];
- BIR Form No. 2316 – Certificate of Compensation Payment/Tax Withheld
- System generated Acknowledgment Receipt or Validation Report of electronically submitted Summary Alphalist of Withholding Taxes (SAWT) thru esubmission@bir.gov.ph;
- Duly approved Tax Debit Memo;
- Proof of Foreign Tax Credits;
- Proof of Prior Years' Excess Credits;
- Proof of Other Tax Payment/Credit;
- Special Power of Attorney (SPA) if the return is being filed/paid by an authorized representative;
- For amended return, proof of tax payment and the return previously filed.
- BIR Form No. 1709 – Information Return on Transactions with Related Party.